

your young eyes. It's in the company's best interest to keep you in the dark about how many years you'll be in indentured servitude!

Let's say your iPad cost you an even \$1,000. Your APR is 22 percent—a common enough interest rate for credit card holders today. In the following chart, I've laid out four options. Option A shows you how long it will take you to pay off that \$1,000 if you make the minimum payment of \$30 each month, and how much you'll end up paying in interest. Option B is how much you'll owe if you put down an additional \$5 each month. Option C is if you pay the minimum plus \$10. And Option D shows you the results if you pay a fixed amount: in this example, \$100 each month. Look at the difference between those four options! Option D has you paying off your debt in a year. If you pay the minimum—which is what the credit card company wants you to do—they'll own your soul for the next four years and four months of your life, and worse. That iPad that you paid \$1,000 for actually cost you almost \$1,600. And guess what? By the time you own it outright, you're going to need a new one.

PAYING OFF CREDIT CARD DEBT: *FOUR BAD SCENARIOS*

For a \$1,000 Purchase with an APA of 22 percent